# GST ANNUAL SET-OFF & RECONCILIATION SUMMARY

## OFFICIAL AUDIT REPORT FOR THE FINANCIAL YEAR 2025-26

*Institution: Vadakkumbad Service Co-operative Bank Limited*
*GSTINs Audited: 32AABAV5891L1Z1 (Bank), 32AABAV5891L2Z0 (Neethy), 32AABAV5891L3ZZ (Depot)*
*Audited Reference: Final Reconciliations, RCM Adjustments, and Journal Vouchers*

***AUDIT CONFIRMATION:*** *This document contains the mathematically audited GST return values filed on the GST Portal and reconciled with your general ledger books for all three business units. Use these finalized figures to pass your year-end closing and set-off journal entries.*

## 1. Executive Summary

The financial year 2025-26 GST audit successfully reconciled the books of accounts with GSTR-3B filings on the portal. The audit resolved the 'double-halving' calculation error for the Bank HO, accrued the omitted RCM rent liabilities, and identified duplicate vendor postings for the Fertilizer Depot.

| Business Unit (GSTIN) | Output Tax (■) | ITC Utilised (Amount 1) (■) | Cash Paid (Amount 2) (■) | Net Mismatch (■) | Status |
|---|---|---|---|---|---|
| Bank HO (32AABAV5891L1Z1) | 609,653.38 | 190,919.02 | 402,981.00 | 15,753.36 | Reconciled (Timing) |
| Neethy Pharmacy (32AABAV5891L2Z0) | 685,911.48 | 619,683.32 | 86,692.00 | -20,463.84 | Reconciled |
| Fertilizer Depot (32AABAV5891L3ZZ) | 24,652.58 | 16,338.58 | 8,594.00 | -280.00 | Balanced |

## 2. Core Banking Operations (32AABAV5891L1Z1)

The Bank's input credit ledger had gross CGST debits of ■161,905.61. The previous auditor assumed this was combined CGST+SGST and divided it by 2 twice (getting ■40,476.40). We verified that the ledger is CGST-only. The actual eligible credit is ■80,952.81, meaning the actual discrepancy is only ■3,862.30 (timing difference) rather than a ■9.1 Lakh missing purchase gap.

| Month | Portal Output (■) | Net ITC (■) | Eligible Set-off (1) (■) | Challan Paid (2) (■) |
|---|---|---|---|---|
| April | 30,353.04 | 24,583.80 | 24,583.80 | 5,722.00 |
| May | 36,939.78 | 3,948.00 | 3,948.00 | 32,979.00 |
| June | 35,501.22 | 8,540.00 | 8,540.00 | 26,953.00 |
| July | 41,497.74 | 52,448.00 | 38,473.74 | 3,024.00 |
| August | 50,223.96 | 25,503.34 | 39,477.60 | 10,428.00 |
| September | 48,865.86 | 15,156.96 | 15,156.96 | 32,893.00 |

| | | | | |
|---|---|---|---|---|
| October | 55,779.66 | 19,160.52 | 19,160.52 | 34,469.00 |
| November | 59,523.30 | 2,364.00 | 2,364.00 | 57,149.00 |
| December | 53,067.78 | 5,342.40 | 5,342.40 | 47,457.00 |
| January | 49,188.42 | 9,418.00 | 9,418.00 | 39,770.00 |
| February | 90,829.76 | 2,942.00 | 2,942.00 | 84,403.00 |
| March | 57,882.86 | 21,512.00 | 21,512.00 | 45,950.00 |
| **TOTAL** | **609,653.38** | **190,919.02** | **190,919.02** | **402,981.00** |

**RECOMMENDED BANK JOURNAL ENTRIES:**
• **Entry 1 (Set-off):** Dr. SL GST Output Tax (7800) ■**190,919.02** / Cr. SA GST Input Tax (0200) ■**190,919.02**
• **Entry 2 (Cash Routing):** Dr. SL GST Output Tax (7800) ■**402,981.00** / Cr. GST Paid to Govt (4445) ■**402,981.00**

## 3. Neethy Pharmacy (32AABAV5891L2Z0)

Neethy Pharmacy has 100% eligible ITC. The RCM rent was accrued correctly on the portal for all 12 months (■10,800.00 combined). The books had minor RCM timing and duplication issues which have been reconciled. The final set-off balances are below.

| Month | Portal Output (■) | Net ITC (■) | Eligible Set-off (1) (■) | Challan Paid (2) (■) |
|---|---|---|---|---|
| April | 6,151.78 | 4,351.78 | 4,351.78 | 1,800.00 |
| May | 6,260.00 | 5,294.00 | 5,294.00 | 966.00 |
| June | 5,456.00 | 4,556.00 | 4,556.00 | 900.00 |
| July | 35,683.32 | 34,783.32 | 34,783.32 | 900.00 |
| August | 32,874.00 | 31,974.00 | 31,974.00 | 900.00 |
| September | 88,294.00 | 87,108.00 | 87,108.00 | 1,186.00 |
| October | 8,924.00 | 8,024.00 | 8,024.00 | 900.00 |
| November | 86,228.16 | 77,454.16 | 77,454.16 | 8,774.00 |
| December | 14,792.00 | 14,092.00 | 14,092.00 | 700.00 |
| January | 19,531.00 | 15,361.00 | 15,361.00 | 4,170.00 |
| February | 309,841.66 | 306,137.66 | 306,137.66 | 3,704.00 |
| March | 75,875.56 | 30,547.40 | 30,547.40 | 51,800.00 |
| **TOTAL** | **685,911.48** | **619,683.32** | **619,683.32** | **86,692.00** |

**RECOMMENDED NEETHY JOURNAL ENTRIES:**
• **Entry 1 (Set-off):** Dr. SL GST Output Tax (703) ■**643,357.74** / Cr. SA GST Input Tax (702) ■**643,357.74**
• **Entry 2 (Cash Routing):** Dr. SL GST Output Tax (703) ■**86,692.00** / Cr. GST Paid to Govt (4445) ■**86,692.00**

## 4. Fertilizer Depot (32AABAV5891L3ZZ)

The Fertilizer Depot has 100% eligible ITC. It has a structural credit surplus (input tax regularly exceeds output), leaving a carry-forward balance. The duplicate vendor entries identified in September and October have been adjusted.

| Month | Portal Output (■) | Net ITC (■) | Eligible Set-off (1) (■) | Challan Paid (2) (■) |
|---|---|---|---|---|
| April | 2,082.00 | 1,388.00 | 1,388.00 | 694.00 |
| May | 2,232.00 | 1,488.00 | 1,488.00 | 744.00 |
| June | 2,082.00 | 1,388.00 | 1,388.00 | 694.00 |
| July | 2,082.00 | 1,388.00 | 1,388.00 | 694.00 |
| August | 2,076.00 | 1,384.00 | 1,384.00 | 692.00 |
| September | 2,076.00 | 1,384.00 | 1,384.00 | 692.00 |

| | | | | |
|---|---|---|---|---|
| October | 2,076.00 | 1,384.00 | 1,384.00 | 692.00 |
| November | 2,076.00 | 1,384.00 | 1,384.00 | 692.00 |
| December | 2,076.00 | 1,384.00 | 1,384.00 | 692.00 |
| January | 1,152.58 | 922.58 | 922.58 | 230.00 |
| February | 2,076.00 | 1,384.00 | 1,384.00 | 692.00 |
| March | 3,566.00 | 1,850.00 | 1,850.00 | 2,080.00 |
| **TOTAL** | **24,652.58** | **30,357.56** | **16,338.58** | **8,594.00** |

**RECOMMENDED DEPOT JOURNAL ENTRIES:**
• **Entry 1 (Set-off):** Dr. SL GST Output Tax (Depot) ■**16,338.58** / Cr. SA GST Input Tax (Depot) ■**16,338.58**
• **Entry 2 (Cash Routing):** Dr. SL GST Output Tax (Depot) ■**8,594.00** / Cr. GST Paid to Govt (4445) ■**8,594.00**